The Emerald Research Register for this journal is available at
www.emeraldinsight.com/researchregister

The current issue and full text archive of this journal is available at
www.emeraldinsight.com/1361-2026.htm

ACADEMIC PAPER

Opportunities in the international textile and apparel marketplace for niche markets

Erin Dodd Parrish
University of Alabama, Tuscaloosa, Alabama, USA, and
Nancy L. Cassill and William Oxenham
North Carolina State University, Raleigh, North Carolina, USA

Keywords *Niche marketing, Marketing strategy, International trade, Textile industry, United States of America*

Abstract *With the present transient status of many countries' economies, the international textile industry faces considerable challenges. There are many uncertainties surrounding the global textile market, exacerbated by the foreboding that in 2005, quotas will be eliminated, resulting in "free" trade flows. There is no doubt that manufacturers who have created niche markets will be better positioned to compete in the global marketplace and achieve higher margins for products while yielding greater profitability. This paper is an introduction of a larger study that will examine how niche market definitions are being recast, owing to changing global patterns. This paper addresses what role niche markets will play in 2005. Specific objectives are: to give a broad overview of various trade theories, including classical, neo-classical, post-neo-classical, and modern, in order to determine what, theoretically, the future holds for the US textile and apparel industry. Specifically, focus will be given to the issue of specialization as a result of trade; to explain how the specialization advocated by trade economists relates to niche markets in the US textile and apparel industry; to illustrate how traditional marketing methods differ from niche marketing; and to examine what role niche markets will play in the US textile and apparel industry in 2005. The results of this research study will aid in the formulation of a business strategy that can by utilized to capitalize on niche markets and will provide a research framework for global textile researchers.*

Introduction

No one can dispute the fact that imports are hurting the US textile and apparel industry. Because of agreements under the World Trade Organization, in addition to regional trade agreements, the USA has much lower barriers to trade, such as tariffs and quotas, than ever before. Consumers are demanding lower prices, and foreign imports are oftentimes less expensive than domestically produced products. Also, countries that are in the process of developing their economies are focusing on the historically successful industry of textiles and apparel. One reason for this is because certain sectors of the textile and apparel industry require an abundance of labor with very little capital investment, which is the type of industry that developing countries and economies need. However,

Journal of Fashion Marketing and Management
Vol. 8 No. 1, 2004
pp. 41-57
© Emerald Group Publishing Limited
1361-2026
DOI 10.1108/13612020410518682

these countries do not have the economic capability to buy the textile and apparel products in which they produce, and therefore, must find suitable export markets. Due to the fact that the USA has significant purchasing power per capita, the USA is a highly desirable market for these products.

These factors, combined with lower trade restrictions, have left the US textile and apparel industry very vulnerable to imports. Even with tariffs and quotas lower than anytime in recent history, the US textile market is still one of the most protected in the country. Yet in 2005, quotas will be eliminated resulting in "free" trade. This will only exacerbate the problems currently facing the US textile and apparel industry due to lower priced imports. In the past few years, even *with* a relatively protected market, many of the US textile "giants" have declared bankruptcy, including Burlington Industries, Malden Mills, CMI Industries, and Galey & Lord, while others are overhauling their business practices and looking for other markets in which they will be more competitive. One way in which companies are doing this is by identifying and exploiting potential niche markets. Figure 1 illustrates the progression from commodity markets to niche markets for the US textile and apparel industry. Theoretically, the decline of the US textile and apparel industry is expected, however, traditional trade theories endorse specialization, or to a greater degree of specialization, niche markets, as a result of trade. This paper will expand on this issue.

In addition to this, the research objectives of this paper are to:

- Give a broad overview of various trade theories, including classical, neo-classical, post-neo-classical, and modern, in order to determine what,

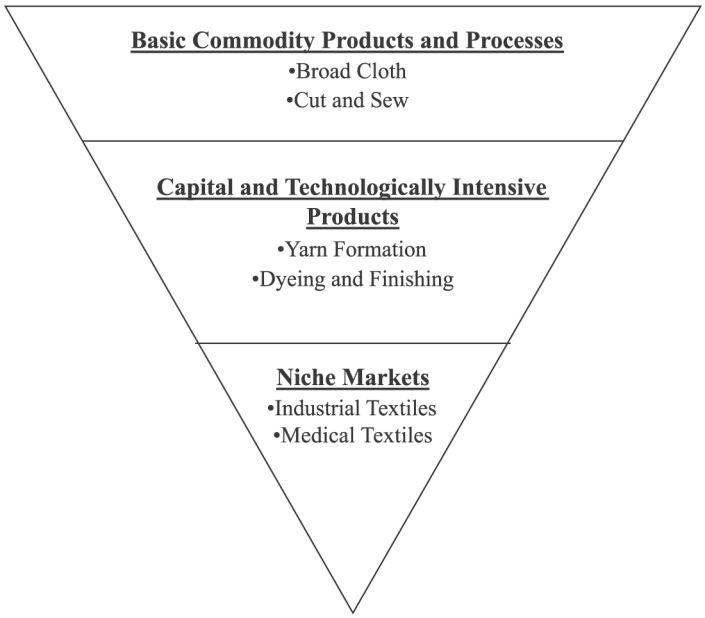


Figure 1.
Progression from commodity markets to niche markets for the US textile and apparel industry

theoretically, the future holds for the US textile and apparel industry. Specifically, focus will be given to the issue of specialization as a result of trade.

- Explain how the specialization advocated by trade economists relates to niche markets in the US textile and apparel industry.
- Illustrate how traditional marketing methods differ from niche marketing.
- Examine what role niche markets will play in the US textile and apparel industry in 2005.

Economists agree that, theoretically, in international trade some industries are "winners" while others are "losers". At the current rate, the US textile and apparel industry is on its way to becoming a "loser". This paper focuses on why trade theories lead to this conclusion, but also how the US textile and apparel industry can gain a comparative advantage[1] in addition to a competitive advantage[2] by using the trade theories to their benefit through specialization, and as an extension, niche markets. Potentially, pre-production processes *could* save jobs in a developed country if these processes are science or marketing based. However, even when utilizing a niche strategy, production may still occur offshore.

Review of economic trade theories

Classical trade theory

In the early nineteenth century, David Ricardo developed the idea that trade patterns between countries should be based not on absolute efficiency but on relative efficiency. This came as an augmentation to Adam Smith's theory of absolute advantage from the eighteenth century. Smith believed that certain countries could produce certain goods more efficiently than others could and that the advantage was absolute. A country should export those products in which it has an absolute advantage, and imports those products in which it does not. If a country had an absolute advantage in all industries, then that country may not need to trade (Smith, 1776). Ricardo, on the other hand, believed that a country only has to have a relative advantage to benefit from trade. In his theory, relative advantage is determined by the relative productivity of labor. In *The Principles of Political Economy and Taxation*, Ricardo (1817) uses an example illustrating England's production of cloth and Portugal's production of wine. He supposes that England has an absolute advantage compared to Portugal in the production of cloth and wine, but her advantage is greater in the production of cloth. However, Portugal's relative disadvantage in the production of wine is less than her disadvantage in the production of cloth. Therefore, England should export cloth to Portugal and import wine from Portugal. Ricardo (1817, p. 82) stated that:

> Though she [Portugal] could make the cloth with the labour of 90 men, she would import it from a country where it required the labour of 100 men to produce it, because it would be

advantageous to her rather to employ her capital in the production of wine, for which she would obtain more cloth from England, than she could produce by diverting a portion of her capital from the cultivation of vines to the manufacture of cloth.

In his writings, Ricardo never uses the term comparative advantage. Economists, as a summation of his theory, developed this term, as well as the mathematical theorem that is used in the testing of this theory. Equation 1 is the standard theorem of comparative advantage (Bhagwati *et al.*, 1998):

$$\frac{(Q_1/L_1)}{(Q_1/L_1)*} > \frac{(Q_2/L_2)}{(Q_2/L_2)*}$$

In this equation, Q_1 is the output of good 1, L_1 is the labor input of good 1, Q_2 is the output of good 2, and L_2 is the input of good 2 (* indicates the world price). This theorem states that when the ratio of the price of Q_1 to the world price of Q_1* is greater than the ratio of the price of Q_2 to the world price of Q_2*, then the country should produce and specialize in Q_1. In other words, countries will tend to specialize in those products in which they enjoy low relative costs.

Ricardo's theory of comparative advantage is a core concept in the theory of international trade and has been since its introduction in the early nineteenth century. Even in its most basic form, which is a two-country, two-commodity model, the theory has some unrealistic assumptions. For example, price is determined only by relative labor productivity and has nothing to do with demand. There are no transportation costs, no barriers to trade (tariffs and quotas), resources are fully employed, zero profits, perfect competition, and resources are free to move domestically, but they are not free to move internationally. Also, another major assumption is balanced trade (Ricardo, 1817). Despite all of the inherent weaknesses of Ricardo's theory, it has become the basis of international trade thought, and economists generally accept comparative advantage as a valid viewpoint. In fact, many of the articles of the General Agreement of Tariffs and Trade were designed with Ricardo's theory in mind (Coleman, 1986).

Neo-classical trade theory

One of the main weaknesses of Ricardo's theory of comparative advantage was that it accounted for only one factor (labor). It also never sought to explain why one country could have a labor productivity advantage in the production of certain goods over another country, i.e. why comparative costs differ between countries. Approximately a century later, two economists, Eli Heckscher and Bertil Ohlin developed the idea that "a country will export goods that are intensive in production in its abundant factors and import goods intensive in its relatively scarce factors" (Heckscher and Ohlin, 1991). It is interesting to note that Heckscher and Ohlin developed these notions separately. In the introduction to *Heckscher-Ohlin Trade Theory*, Flam and Flanders (the Editors) write:

> Heckscher's innovation was to attribute disparities in comparative costs, and hence in the pattern of trade, to dissimilarities in factor endowments rather than to "climatic" differences in productivity as in the classical theory. Ohlin recognized the revolutionary nature of Heckscher's brilliant idea, married it explicitly with general-equilibrium, neoclassical theory, added monetary factors, and subjected the new model to comprehensive analysis.

What developed from this has come to be known as the Heckscher-Ohlin Trade Theory of Factor Proportions (HO Theory). Equation 2 is a mathematical demonstration of this theory.

In this illustration K is capital, L is labor and Q_1 is the output of good 1 and Q_2 is the output of good 2. The same assumptions that applied to Ricardo's theory of comparative advantage also apply to the HO theory. One additional assumption not included in the classical theory is the assumption that technology is completely mobile between countries or that all countries have equal technology.

Assuming that country A is more capital abundant than country B:

$$\frac{K_A}{L_A} > \frac{K_B}{L_B}$$

And that good 1 is capital intensive:

$$K_1 > K_2$$

One can deduce that country 1 will specialize in good 1:

$$\frac{Q_{1A}}{Q_{2A}} > \frac{Q_{1B}}{Q_{2B}}$$

Post-neo-classical trade theory

One of the main assumptions of neo-classical trade theory was that countries had equal technology. By doing this, the influence of technological change on trade and specialization is largely ignored (Grimwade, 2000). It is assumed that any technological innovations developed in one country are quickly available to all other countries. Post-neo-classical trade economists realized the importance of technology and developed new trade theories incorporating this idea.

Technology gap trade

One economist, Michael Posner, wrote a paper in order to explain what influence technology has on trade flows. He also wanted to "present an explanation of trade in manufactured goods between advanced countries which share very similar general economic conditions" (Posner, 1961). As mentioned in the previous section, empirical studies of the HO trade theory showed that most trade takes place between countries with similar factor proportions, completely opposite of what the HO theory predicted.

Posner believed that the rejection of technology as a major factor of trade flows was very impractical. He explained how even though new commodities are developed through time, this development does not occur simultaneously in all countries. Trade, therefore, could be caused by the existence of some technical know-how in one country not available elsewhere, even though there may be *no* international differences in relative advantages or factor proportions (Posner, 1961). However, technology can only give a short-term competitive advantage and not a long-term advantage. This came to be known as technological gap trade. In his paper, "International trade and technical change", Posner (1961) described two different types of time lags: reaction lag and imitation lag. The reaction lag is the time it takes consumers to discover and accept a new product on the market. The imitation lag, which is directly related to the degree of competition in the industry, is the time is takes for competitors to develop similar or substitute products. The imitation lag is broken down into domestic and foreign. This theory has the set of usual assumptions[3]. However, he explains that even though a country may have a temporary competitive advantage due to a technological innovation, this advantage is temporary because competitors (other countries) will soon be able to copy or imitate the product. This leads to the conclusion that high-wage countries will tend to be net exporters of new products. However, once other producers have copied the technology, production in the initial country will fall and may disappear altogether.

Product life cycle trade theory

Another economist of the same time period, Raymond Vernon, also included the factor of technology in his theory on trade. Vernon's viewpoint is very similar to Posner's except that he puts more emphasis on the life of the actual product, whereas Posner puts more emphasis on the life of the technology used to make the product. Vernon's theory is in a large part an extension of Posner's. Vernon did address the fact that countries with high wage rates, such as the USA, have more of an incentive for technological innovations. First, companies would want to increase productivity per worker, thereby hopefully decreasing overall costs. Some of the inventions in the USA that have resulted from this are the conveyor belt and the fork-lift. Second, countries with high wage rates have more leisure time and more disposable income. Therefore, products which either save time, such as the washing machine, or can be used for recreation, such as the jet ski, are more likely to be developed in these countries (Vernon, 1966).

Vernon's theory differs from classical and neo-classical trade theory because "[i]t puts less emphasis upon comparative cost doctrine and more upon the timing of innovation, the effects of scale economies, and the roles of ignorance and uncertainty in influencing trade patterns" (Vernon, 1966, p. 190). In his paper, "International investment and international trade in the product life cycle", Vernon (1966) determined that there are three stages in a product life.

The first stage is "New product". During this stage, the product is introduced onto the market, and producers are concerned with a number of factors:

- the product may be unstandardized for a time;
- the cost of inputs;
- the ability to change the product, i.e. flexibility; and
- the need for quick and effective communication between the producer and the customer, suppliers, and even competitors (Vernon, 1966).

The second stage is "Maturing product". During this stage certain occurrences will have taken place:

- a certain degree of standardization;
- a decline in the need for flexibility;
- an increase in the concern about production costs;
- an increase in exports;
- an increase in competition; and
- an increase in demand (Vernon, 1966).

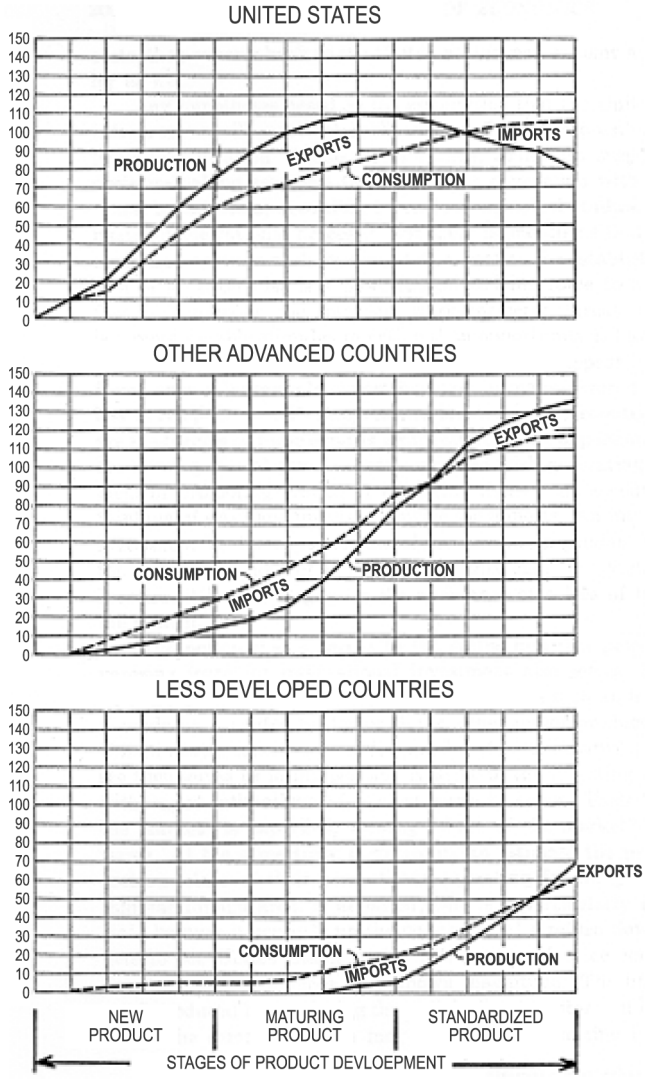
Because of the increase in the concern about production costs, producers will begin looking for ways to decrease costs. This may mean setting up factories abroad in order to service the foreign markets, thereby eliminating transportation costs and getting by any tariff or non-tariff barrier. Because of this, exports of the product from the innovating country begin to decline (Grimwade, 2000).

The final stage is "Standardized product". During this stage:

- less-developed countries may offer competitive advantages as a production location;
- the product has an easily accessible international market; and
- price becomes the basis for competition (Vernon, 1966).

Figure 2 illustrates Vernon's Product Life Cycle Trade Theory when the USA is the innovating producer of a certain product.

This theory, similar to Posner's theory, leads to the conclusion that developed countries will specialize in and export new products. Developing countries will specialize and export those products which are more standardized. This is especially true when specialization is related to economies of scale[4]. One of the main advantages of this theory is that Vernon does not apply standard assumptions of the previous theories to his Product Life Cycle Trade Theory. This makes it much easier to apply to actual trade flows, and there are many examples of products which have passed through this particular life cycle, such as the TV and radio (Grimwade, 2000).



Source: Vernon (1966)

Figure 2.
The product life cycle of trade

Modern trade theory

In the previous theories, economists have tried to uncover what factors influence trade flows between countries and what factors determine patterns of specialization for these particular countries. However, these theories are inadequate for describing actual competition between countries. Some of the reasons for this have already been pointed out, such as the fact that most trade takes place between countries with similar factor endowments. Also, domestic

factor endowments are not nearly as important as they once were due to the rise of multinational corporations. In 1990, Michael Porter, a Harvard professor, published his views of what determines trade flows and patterns of specialization in *The Competitive Advantage of Nations*. In this book, he gives a critique of orthodox trade theory. Porter (1998, p. 12) cites examples of countries proficient in certain industries that do not have a "factor comparative advantage". For example:

> Korea, having virtually no capital after the Korean War, was still able eventually to achieve substantial exports in a wide range of relatively capital-intensive industries such as steel, shipbuilding, and automobiles. Conversely, America, with skilled labor, preeminent scientists, and ample capital, has seen eroding export market share in industries where one would least expect it, such as machine tools, semiconductors, and sophisticated electronic equipment.

In order to account for these discrepancies, Porter introduced the importance of the firm to the theory of international trade. It is important to note that Porter's Competitive Advantage of Nations is more of a management model, whereas the previous theories have been economic models/theories. However, Porter argued that it is not so much comparative advantage, factor proportions, or technology that determine what countries are more competitive in certain industries compared to other countries, but a combination of these conditions in addition to others that lead to nations being the dominant exporter of certain products. With his model, Porter (1998) sought to answer the two following questions:

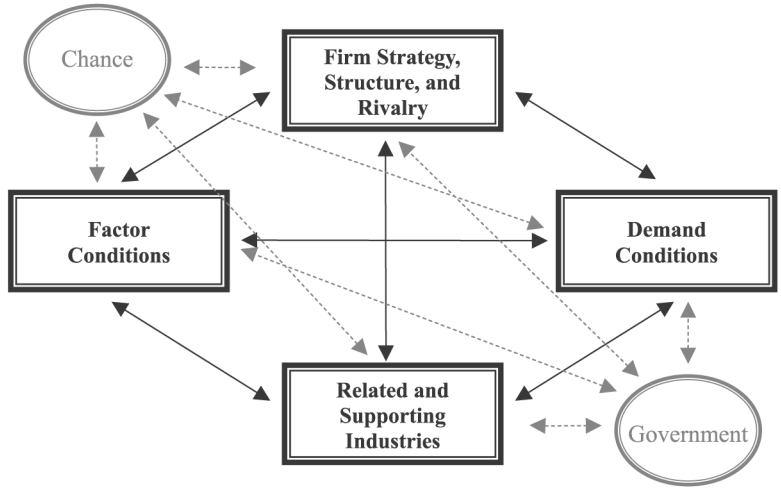
(1) Why does a nation become the home base for successful international competitors in an industry?

(2) Or more specifically, why are firms based in a particular nation able to create and sustain competitive advantage against the world's best competitors in a particular field?

In order to answer these questions, Porter developed his "diamond of national competitive advantage. This is shown in Figure 3.

Porter determined that there are four main determinants of national competitive advantage. These are factor conditions; demand conditions; firm strategy, structure, and rivalry; and related and supporting industries. He also noted the importance of government and chance on the success of a particular industry within a country:

- The determinant of "factor conditions" includes not only the labor supply and infrastructure of a country, but also how effectively these factors are used within the country. Porter stated that the factor conditions that are most vital to productivity growth are "not inherited but are created within a nation" (Porter, 1998, p. 74).
- The determinant of "demand conditions" affects a country's industry when domestic demand is high and buyers encourage manufacturers to



Source: Porter (1990)

Figure 3.
Porter's diamond of national competitive advantage

innovate and improve their products. In other words, domestic demand sets the framework for the industry.

- The determinant of "related and supporting industries" means that when an industry is located in the same country as internationally competitive suppliers and related industries there is an advantage for *that* industry in *that* country.
- The determinant of "firm strategy, structure, and rivalry" is "the conditions in the nation governing how companies are created, organized, and managed, and the nature of domestic rivalry" (Porter, 1998, p. 71). This means that the competitive advantage can come from within the company such as the work ethic of the employees and by the way the industry/company is operated. Also, strong domestic rivalry forces companies to innovate and continuously improve their products, which also makes the industry more competitive internationally.

Porter's Competitive Advantage of Nations model (1998) differs from the previous theories because instead of attempting to *predict* what countries will specialize in or where they will be located, Porter provides a model for determining *why* certain industries in certain countries are successful and continue to be. One of his main critiques of orthodox trade theory was the unrealistic assumptions. Porter (1998, pp. 12-13) states that "the theory of factor comparative advantage is also frustrating for firms because its assumptions bear so little resemblance to actual competition". Nevertheless, it is almost impossible to have a "theory" that is used to predict what will happen in the future without some sort of normalization of the circumstances. This is what

the assumptions of the previous theories have aimed to do. Porter, however, developed a model as a guide. Therefore, there is no need for broad assumptions. There is room for the model to be individualized for each different situation.

With the complex dynamics of the textile and apparel industry, the application of Porter's model is not as straightforward as it seems. While Porter's model comes closer than others to explaining specialization, Jones (2001) pointed out that the model only explains why a country becomes the home base for a certain industry. However, because the textile and apparel industry typically participates in outsourcing, Porter's model may take on a different dimension due to the nature of the industry. Future research is warranted in adapting Porter's model to industry dynamics, as outlined by Jones (2001).

Specialization

Based on the trade theories/models discussed in the previous section, specialization is the natural result of free trade. What does this mean for the US textile industry? It means that US textile companies need to move their resources from processes in which the USA no longer has a competitive advantage to processes in which the USA does have a competitive advantage. This means moving away from basic textile items used in apparel production, such as plain woven and knitted fabrics, and moving towards more capital intensive textile items, such as industrial, medical, and geo-textiles, just to name a few. Within these segments, US textile companies could gain a larger market share, even if the market is smaller. In *Competitive Strategy*, Michael Porter (1980, pp. 43-4) stated that in some industries "competition is so intense that the only way to achieve an above-average return is through focus or differentiation". Intense competition is a key characteristic of the US textile industry. He also argued that firms that are protected by mobility barriers, in a stronger position relative to customers and suppliers, and more insulated from rivalry with other groups will be more profitable (Porter, 1980). A way of achieving this protection is through differentiation. Differentiation can be attained through product, service, personnel, channel, and image (Kotler, 2003). One classic way of obtaining product differentiation is through niche markets. A niche market has the following characteristics:

- the customers in the niche have a distinct set of needs;
- the customers will pay a premium price to the firm that best satisfies their needs;
- the niche is not likely to attract other competitors;
- the nicher gains certain economies through specialization; and
- the niche has size, profit, and growth potential (Kotler, 2003).

The development and implementation of niche marketing versus traditional marketing techniques could secure the future of many ailing US textile companies.

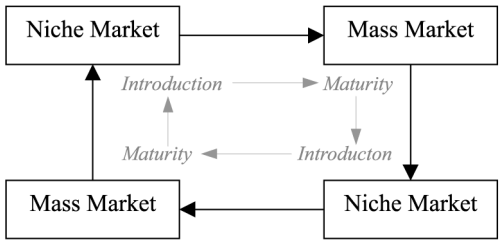
Niche marketing vs traditional marketing

A niche is a market that consists of a small group of customers with distinct characteristics or needs. In niche marketing a company focuses on a particular niche instead of an entire market. The opposite of niche marketing is mass marketing. This option involves selling the same product to masses of consumer (Dalgic and Leeuw, 1994). In both strategies, a product can be initially developed by the company and then marketed to the consumer, i.e. giving the customer what they did not know they needed, also known as push marketing. It can also be created based on customer needs, i.e. learning about voids in current markets/products, and developing or enhancing a product in order to fill this void, also known as pull marketing. One of the main advantages of niche marketing is that the company has a much smaller customer base, and therefore gets to know the customer very well. This makes the company much more able to satisfy the customer, which, in turn, means customer loyalty and return sales.

Interestingly, most mass markets originated as niche markets, proving the tremendous growth and profit potential in following a niche market strategy. Looking at the product life cycle, in the introduction stage, a product is a niche product. This niche product then evolves becoming a mass market. As the product reaches maturity and the market becomes saturated, innovation occurs and the former mass markets tend to return to niche markets (Dalgic and Leeuw). An illustration of this concept is shown in Figure 4.

Disadvantages and risks associated with a niche strategy

Despite the advantages associated with niche marketing, there are inherent risks in choosing this strategy, of which companies need to be aware. The first risk is, of course, an attack by a competitor who wants to be a part of a profitable niche. The second risk is cannibalization (Linneman and Stanton, 1992). Cannibalization is when a company introduces a new product that "eats away" at one of its own established markets. The third risk associated with a



Source: The authors

Figure 4.
Evolution cycle of niche markets and mass markets

niche marketing is the threat of a niche drying up because of a change in customer preferences (Shani and Chalasani, 1992).

US textile and apparel industry

Given the global dynamics, the US textile and apparel industry has become less competitive in the international market, even though it is one of the oldest industries in the country. There are many reasons for this, but, of course, the effect of imports ranks at the top of the list. In the early 1990s, the US textile industry had reached one of its most prosperous periods in history. In 1997, US textile shipments reached an all-time high of $84 billion (Hayes, 2001). However, the onset of the Asian financial crisis in 1997-1998 had a tremendous impact on the US textile industry. Due to the devalued currency, Asian industries began exporting their textile and apparel products into the USA priced below manufacturing costs. This, in turn, resulted in a dramatic increase of imports into the USA. In the past four years, imports of Asian yarn have increased by 218 percent, while Asian fabric imports have increased by 61 percent (Hayes, 2001).

Even though the Asian financial crisis intensified the problems currently facing the US textile industry, the looming inevitability of the World Trade Organization's elimination of quotas in 2005 is nonetheless only a few years away. In order to compete, the US textile industry is attempting to metamorphosize itself to be more competitive with imports. There are several ways in which it is doing this. First, the USA has created regional trade pacts including the North American Free Trade Agreement (NAFTA) and the Trade and Development Act (TDA). One of the main reasons for this is to take advantage of the low cost labor in these regions for the labor intensive production processes while still utilizing the capital abundance domestically, as well as maintaining the proximity to market advantage. Second, companies are investing in new, more productive machinery and plants. And third, US textile companies are trying to find their competitive advantage by specializing in the production of products that require capital and technology, such as home furnishings and industrial textiles. These same companies are, in turn, de-emphasizing products that are vulnerable to foreign imports, such as textile products consumed in the apparel industry (*US Industry and Trade Outlook*, 2000).

Table I is an evaluation of the strengths, weaknesses, opportunities and threats of the US textile and apparel industry related to niche markets.

Examples of niche markets

As stated previously, many US textile and apparel companies are facing difficult times for different reasons. Some of these companies have developed specialized products in order to remain competitive. Below are a few examples of successful niche markets.

Strengths	*Weaknesses*
Large domestic market Communication technologies, such as electronic data interchange Higher productivity and efficiency compared to other countries Economies of scale Strategic alliances Research and development capabilities	Consumer's demand for lower prices Low profitability Inflexibility Many companies lack global vision Intra-industry competition means markets get "flooded" easily Inaccessibility of the markets of developing countries Focuses on commodity products instead of specialty products.
Opportunities	*Threats*
Regional trade agreements Investments in technology Growth of industrial textile market Growth of home furnishings market Large global market opportunities Niche marketing—looking to specialty markets	Elimination of quotas in 2005 Intense international competition Deterioration of domestic market in favor of imports Government reluctance to enforce trade laws Growing volume of transshipments

Source: The authors. Some components were adapted from an unpublished report written by Kilduff and Priestland (2001), entitled "Strategic transformation of the US textile and apparel industries"

Table I. US textile and apparel industry

Lands' End

As the competition among catalog and online retailers has increased, Lands' End, based in Dodgeville, Wisconsin, has found that its customers have a distinct set of needs – value, convenience, and customization of products. Customers are able to customize jeans and chinos to ensure fit and style. The service is offered through Lands' End's Web site and is available for both men's and women's chinos and jeans. The customer enters in his/her measurements and style preferences, and the garment arrives in two to three weeks (Lands' End Customer Clothing, n.d.). Lands' End began offering this service for chinos in late 2001, and in April, 2002, they expanded to jeans. They are planning on offering men's shirts, tailored pants, and swimsuits in the near future.

This service was created in order to gain a competitive edge, yet so far it has been much more successful than originally thought. Lands' End has created a niche, for which their customers are willing to pay a premium price, that puts them ahead of the competition.

Burlington Industries Inc.

Burlington Industries, an apparel and upholstery fabric manufacturer based in Greensboro, North Carolina, has also faced tremendous competition, mostly from lower priced imports. This increased pressure led the company into recently having to file bankruptcy because Burlington's traditional markets have been those markets most vulnerable to these imports. For this reason,

Burlington has been trying to venture into areas which are more protected. An example is their recent investment in Nano-Tex. This is a subsidiary of Burlington Industries that develops nanotechnology enhancements to fabrics, which has size, profit, and growth potential. The nanotechnology finish allows the fabric to be waterproof. Unlike traditional waterproof fabrics, these newer fabrics are soft enough for everyday clothes (Fitzgerald, 2002).

Burlington Industries is marketing their nanotechnolgy differently than their other products. Even though they have traditionally been a textile mill, Burlington is marketing this technology to other manufacturers, such as Galey and Lord and Levi Strauss. These manufacturers are, in turn, marketing their products as being made with nanotechnology because consumers will pay extra for this added characteristic. However, the ultimate goal for Burlington is to market Nano-Tex on the consumer level, so that eventually, consumers will demand fabrics finished with nanotechnology, giving them an edge on the competition.

Tommy Bahama

Another example of the use of niche markets to differentiate a company from competitors is the brand and private label, Tommy Bahama. Tommy Bahama was created by three men and is based on a "tanned enigma [who] has Jimmy Buffet's blood pressure and Gary Cooper's bearing" (Hofman, 2001, p. 76). These men saw a gap in the market and focused their brand of elegant and tropical clothing to be sold in specialty stores on men aged 35 to 65. As one of the founders, Bob Emfield said, "If it wasn't red-white-and-blue Hilfiger, Polo, or Nautica, they [retailers] didn't want it" (Hofman, 2001, p. 80). Since its inception in 1991, revenue has reached over $300 million and has grown from simply a men's clothing line to women's clothing, home furnishings, handbags, ties, swimsuits, etc. (Hofman, 2001). They have also opened Tommy Bahama retail stores and restaurants based on the brand image.

One of the ways that Tommy Bahama stays ahead of the competition is by constantly upgrading quality in order to stay ahead of knockoffs. Consumers will pay a premium price for this image. They have not only found a niche in the apparel market, but they have secured it by capitalizing the brand image and customer loyalty.

Conclusions

Ricardo's trade theory of comparative advantage (1817) claims that international trade flows will be based on relative labor productivity. Heckscher and Ohlin's trade theory of factor proportions (1933) contends that international trade flows will be based on factor abundance. Posner's (1961) and Vernon' s (1966) trade theories argue that the cycles associated the technological development will shape international trade flows. Porter's Competitive Advantage of Nations Model (1998) indicates that it is not just one

factor that affects an industry's success in certain countries and thereby trade flows, but a combination of factors. Whatever the differences between these theories are, all support the claim that specialization will result from trade and make countries more successful.

Currently, the international arena is still protected by trade barriers in textiles and apparel. In 2005, one of the most significant of these, quotas, will disappear. This will have huge implications for the US textile industry if it is not prepared to deal with it. The influx of imports from Asia due to the Asian financial crisis dealt a major blow to the US textile industry, but does not compare to what will happen in 2005. Looking simply at the trade theories, the US textile industry, as it has been, will not be in a competitive position after 2005. However, the trade theories do focus on the outcome of specialization as a result of trade. This opportunity continues to be the US textile industry's best chance at survival.

Companies are already looking in what area their competitive advantage lies (*US Industry and Trade Outlook,* 2000). Examples given in this paper were Lands' End, Burlington Industries, Inc., and Tommy Bahama. US textile companies are starting to focus on products that are more capital and technologically intensive versus those products which are historically labor intensive. Companies are also searching for products in which they could have a large and profitable market share, particularly those that are protected from competitors. One way in which US textile companies can utilize this idea of specialization is by the development of niche markets. It has been proven that product differentiation, i.e. niche markets, is related to profitability. If US textile companies can capitalize on the prospect of niche markets, imports will not be nearly as much of a threat as they currently are. Based on the theories, specialization and in turn, niche markets, could prove to be the "saving grace" of the US textile industry.

Notes

1. Comparative advantage is a central concept in economic trade theory which states that "a country (or any geographical area) should specialize in producing and exporting those products in which it has a comparative, or relative cost, advantage compared with other countries and should import those goods in which it has a comparative disadvantage" (Dicken, 1998).
2. Competitive advantage refers to "whatever it is that enables a firm to beat its competition in the marketplace" (Dickerson, 1999).
3. Zero barriers to trade, identical consumer tastes, fixed exchange rates, all resources are fully employed, zero transport costs.
4. Economy of scale is defined as the decrease in unit cost as a result of increasing production so that fixed costs may be spread out over a greater number of units produced (Hinkelman, 1999).

References

Bhagwati, J., Panagariya, A. and Srinivasan, T.N. (1998), *Lectures on International Trade*, 2nd ed., The MIT Press, Cambridge, MA.

Coleman, J. (1986), *Note on Comparative Advantage*, Harvard Business School Publishing, Cambridge, MA.

Dalgic, T. and Leeuw, M. (1994), "Niche marketing revisited: concepts, applications and some European cases", *European Journal of Marketing*, Vol. 24 No. 4, pp. 39-55.

Dicken, P. (1998), *Global Shift: Transforming the World Economy*, The Guilford Press, New York, NY.

Dickerson, K.G. (1999), *Textiles and Apparel in the Global Economy*, 3rd ed., Prentice-Hall, Upper Saddle River, NJ.

Fitzgerald, M. (2002), "The next wave", *Business 2.0*, available at: www.business2.com (accessed September 25).

Grimwade, N. (2000), *International Trade: New Patterns of Trade, Production and Investment*, 2nd ed., Routledge, London.

Hayes, C. (2001), "The textile crisis", available at www.atmi.org/ (accessed July 24, 2002).

Heckscher, E.F. and Ohlin, B. (1991) with Flam, H. and Flanders, M. (Eds), *Heckscher-Ohlin Trade Theory*, The MIT Press, Cambridge, MA.

Hinkelman, E.G. (1999), *Dictionary of International Trade*, World Trade Press, Novato, CA.

Hofman, M. (2001), "A brand is born", *Inc*, Vol. 23 No. 16, pp. 74-85.

Jones, R.M. (2001), "Editorial: Porter's clusters, industrial districts and local economic development", *Journal of Fashion Marketing and Management*, Vol. 5 No. 3, pp. 181-7.

Kotler, P. (2003), *Marketing Management*, 11th ed., Prentice-Hall, Upper Saddle River, NJ.

Land's End Customer Clothing (n.d.), available at: www.landsend.com (accessed September 25 2002).

Linneman, R.E. and Stanton, J.L. (1992), "Mining for niches", *Business and Technical Change Horizons*, Vol. 35 No. 3.

Porter, M.E. (1980), *Competitive Strategy*, The Free Press, New York, NY.

Porter, M.E. (1998), *The Competitive Advantage of Nations*, The Free Press, New York, NY.

Posner, M.V. (1961), "International trade and technical change", *Oxford Economic Papers*, Vol. 13 No. 3, pp. 323-41.

Ricardo, D. (1817), *The Principles of Political Economy and Taxation*, Everyman's Library, London.

Shani, D. and Chalasani, S. (1992), "Exploiting niches using relationship marketing", *The Journal of Services Marketing*, Vol. 6 No. 4, pp. 42-52.

Smith, A. (1776), *An Inquiry into the Nature and Causes of the Wealth of Nations*, Everymans Library, London.

US Industry and Trade Outlook 2000 (2000), "Textiles", *US Industry and Trade Outlook 2000*, McGraw-Hill Companies, New York, NY.

Vernon, R. (1966), "International investment and international trade in the product life cycle", *The Quarterly Journal of Economics*, Vol. 80 No. 2, pp. 190-207.